revenues. But since there is a fairly constant relationship between the investment and the gross receipts (about $4 of property for $1 of revenue) the adequacy of the depreciation allowance may be conveniently judged by reference to the gross revenues.

Examples Showing Need for Critical Examination of Offering Circular. The following actual example illustrates in rather extreme fashion the practices formerly followed in bankers' circulars offering public-utility bonds.

Utilities Service Company Convertible Debenture 6½s, due 1938, offered in 1928 at 99½, yielding 6.55%. The presentation in the offering circular may be summarized as follows:

Amount of issue $3,000,000
Business . . . . .Operates 20 telephone companies and 4 ice companies.
Value of property . . . . $12,500,000 after depreciation, equal to $1,650 per $1,000 bond after deducting prior obligations.

Earnings	**Year Ended May 31, 1928**
Gross	$3,361,000
Net before depreciation	969,000
Prior deductions	441,000
Balance for debentures	528,000
Interest on debentures	195,000
Balance for stock	333,000

"Balance as above is equal to 2.71 times interest on this issue."

Criticism of This Offering Circular.

1. The business is a combination of utility (telephone) and industrial (ice) operations, but it is bonded more heavily than a 100% utility enterprise could safely stand, the total debt being 84% of the appraised property value. The proportion of gross and net contributed by the ice business is not stated and must therefore be assumed to be substantial.[18]

2. The omission of the depreciation charge from the earnings statement is so misleading as to appear almost fraudulent. Depreciation

[18] Figures subsequently published show that the ice business made up more than half of the total business.